Microsoft (MSFT US)

Buy: Azure boldly defies the law of large numbers

Equities
Software

United States

- 1QFY27 non-GAAP EPS 1-3% above estimates. 2QFY27 non-GAAP operating profit guidance c1% above consensus
- Azure's at-sale 48% growth has us rethinking large numbers
- TP increased to USD628.00 (from USD595.00) on higher estimates; maintain Buy

Solid 1QFY27 results: Revenue came at USD92,279m, 18.8% y-o-y and slightly above HSBC (USD91,976m) and consensus (USD90,633m) estimates. Non-GAAP operating margin came in at 49.76%, up 0.88pp y-o-y and above HSBC (48.51%) and consensus (48.55%) estimates. Non-GAAP EPS came at USD4.89, 18.4% y-o-y and above HSBC (USD4.83) and consensus (USD4.73) estimates. Remaining performance obligations rose 71.6% y-o-y to a massive USD683bn in 1QFY27 (4QFY26: USD684bn).

Good 2QFY27 guidance: The company guided to 2QFY27 non-GAAP operating profit guidance of USD45,200m, slightly above pre-results consensus of USD44,800m but slightly below pre-results HSBCe of USD47,623m.

Excellent performance by Azure: Azure *at-scale* revenue rose 48% y-o-y (constant currency) to USD33,165m, well ahead of previous guidance of 45% constant currency growth. Moreover, the beat came even though capex came in at USD45.2bn vs previous guidance of USD50bn (noting that deployed racks can quickly turn around to recognised revenue). The company cut CY26 capex guidance to USD170bn from USD175bn previously. The company maintained that demand continues to exceed supply for cloud infrastructure. We estimate that asset turnover (Revenue/gross assets excluding work in progress construction and including leased assets) remained healthy at 37.2% in 1QFY27. Assuming 1GW of AI focussed compute requires capex of USD50bn, Microsoft should be realizing about USD18,586m of revenue p.a. from 1GW of capacity. Thus, we estimate pretax ROIC of about 15% for Microsoft Azure.

Attractive valuation: Microsoft shares are trading at 23.3x CY27e non-GAAP PE, which is at only a slight premium to 20.3x median for the sector. However, we believe a wider premium is warranted as we expect Microsoft's non-GAAP EPS to rise at a CAGR of 20.3% over FY26-31e, vs 10-15% typical for the sector. Our TP of USD628.00 (was USD595.00) is based on 29x our NTM non-GAAP EPS estimate of USD21.66 (was USD20.51). Our TP implies 18.3% upside and we maintain our Buy rating as we consider Microsoft a high-quality holding in the sector with solid growth, high margins, well diversified business mix and well entrenched business with wide moat.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
628.00	**595.00**
SHARE PRICE (USD)	UPSIDE/DOWNSIDE
531.01	**+18.3%**

(as of 28 Oct 2026)

MARKET DATA

Market cap (USDm)	3,943,384	Free float	100%
Market cap (USDm)	3,943,384	BBG	MSFT US
3m ADTV (USDm)	12,729	RIC	MSFT.O

FINANCIALS AND RATIOS (USD)

Year to	06/2026a	06/2027e	06/2028e	06/2029e
HSBC EPS	17.28	20.59	25.34	29.78
HSBC EPS (prev)	17.28	20.51	25.15	29.76
Change (%)	0.0	0.4	0.7	0.1
Consensus EPS	16.80	19.89	23.77	29.28
PE (x)	30.7	25.8	21.0	17.8
Dividend yield (%)	0.7	0.7	0.8	0.9
EV/EBITDA (x)	20.2	16.0	12.5	10.0
ROE (%)	32.8	30.6	29.4	27.0

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

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Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Profit & loss summary (USDm)				
Revenue	331,839	403,248	501,305	603,852
EBITDA	193,771	246,583	313,832	387,274
Depreciation & amortisation	-38,534	-55,028	-80,826	-109,485
Operating profit/EBIT	155,237	191,556	233,006	277,789
Net interest	0	0	0	0
PBT	165,934	187,667	227,152	272,315
HSBC PBT	159,404	191,695	233,152	278,315
Taxation	-32,185	-37,667	-43,159	-51,740
Net profit	133,749	150,000	183,993	220,575
HSBC net profit	128,786	153,233	188,853	222,652
Cash flow summary (USDm)				
Cash flow from operations	182,935	240,467	300,353	369,900
Capex	-115,948	-214,367	-235,804	-271,174
Cash flow from investment	-139,500	-216,965	-235,804	-271,174
Dividends	-26,445	-28,581	-31,327	-34,567
Change in net debt	14,865	35,878	-23,222	-54,159
FCF equity	66,987	26,100	64,549	98,726
Balance sheet summary (USDm)				
Intangible fixed assets	138,260	137,397	137,397	137,397
Tangible fixed assets	412,406	606,144	785,478	972,251
Current assets	207,710	207,492	279,379	358,689
Cash & others	76,843	45,152	80,374	122,534
Total assets	758,376	951,033	1,202,254	1,468,338
Operating liabilities	275,695	346,057	422,560	500,481
Gross debt	40,294	44,481	56,481	44,481
Net debt	-36,549	-671	-23,893	-78,053
Shareholders' funds	442,387	560,495	723,213	923,376
Invested capital	405,838	559,824	699,320	845,323

Ratio, growth and per share analysis

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Y-o-y % change				
Revenue	17.8	21.5	24.3	20.5
EBITDA	19.1	27.3	27.3	23.4
Operating profit	20.8	23.4	21.6	19.2
PBT	34.2	13.1	21.0	19.9
HSBC EPS	24.2	19.1	23.1	17.5
Ratios (%)				
Revenue/IC (x)	1.0	0.8	0.8	0.8
ROIC	35.9	31.7	30.0	29.1
ROE	32.8	30.6	29.4	27.0
ROA	19.4	17.5	17.1	16.5
EBITDA margin	58.4	61.1	62.6	64.1
Operating profit margin	46.8	47.5	46.5	46.0
EBITDA/net interest (x)				
Net debt/equity	-8.3	-0.1	-3.3	-8.5
Net debt/EBITDA (x)	-0.2	-0.0	-0.1	-0.2
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	17.94	20.15	24.68	29.50
HSBC EPS (diluted)	17.28	20.59	25.34	29.78
DPS	3.55	3.84	4.20	4.62
Book value	59.35	75.30	97.02	123.50

Key forecast drivers

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Revenue growth, yoy, %	17.8	21.5	24.3	20.5
HSBC EPS growth, yoy, %	24.1	19.2	23.1	17.5
Gross margin, %	67.9	67.3	66.3	65.3
Operating margin, %	46.8	47.5	46.5	46.0

Valuation data

Year to	06/2026a	06/2027e	06/2028e	06/2029e
EV/sales	11.8	9.8	7.8	6.4
EV/EBITDA	20.2	16.0	12.5	10.0
EV/IC	9.6	7.0	5.6	4.6
PE*	30.7	25.8	21.0	17.8
PB	8.9	7.1	5.5	4.3
FCF yield (%)	1.7	0.7	1.6	2.5
Dividend yield (%)	0.7	0.7	0.8	0.9

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2026a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**06/2026a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	06/2026a
No. of board members	12
Average board tenure (years)	n/a
Female board members (%)	41.7
Board members independence (%)	91.7

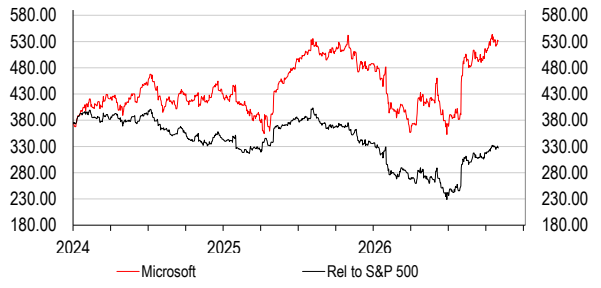
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	531.01	Free float	100%
Target price (USD)	628.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	3,943,384	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 28 Oct 2026

Solid 1QFY27 results

Microsoft 1QFY27 results: Actual vs estimates

USDm, FYe June, Non-GAAP	1Q27a	HSBCe	vs HSBCe	Consensus	vs. Consensus	1Q26	y-o-y	4Q26	q-o-q
Revenue	**92,279**	**91,976**	**0.3%**	**90,633**	**1.8%**	**77,673**	**18.8%**	**90,007**	**2.5%**
Gross profit	62,559	62,162	0.6%	60,902	2.7%	53,630	16.6%	60,482	3.4%
Gross margin	67.8%	67.6%	0.21pp	67.2%	0.6pp	69.0%	-1.25pp	67.2%	0.6pp
Operating profit	**45,915**	**44,619**	**2.9%**	**44,006**	**4.3%**	**37,961**	**21.0%**	**40,603**	**13.1%**
Operating margin	49.8%	48.5%	1.24pp	48.6%	1.2pp	48.9%	0.88pp	45.1%	4.65pp
Net income	**36,422**	**35,914**	**1.4%**	**35,030**	**4.0%**	**30,833**	**18.1%**	**35,286**	**3.2%**
Net margin	39.5%	39.0%	0.42pp	38.7%	0.82pp	39.7%	-0.23pp	39.2%	0.27pp
Diluted EPS, USD	**4.89**	**4.83**	**1.3%**	**4.73**	**3.4%**	**4.13**	**18.4%**	**4.74**	**3.2%**

Source: Company data, Visible Alpha, HSBC estimates

Microsoft 1QFY27 results: Actual vs guidance vs pre-results estimates

Non-GAAP	1Q27a			2Q27e		
(USDm)	Actual	Consensus	Prior Guidance	HSBC*	Consensus*	Guidance
Revenue	**92,279**	**90,633**	**90,400**	**98,794**	**95,601**	**96,550**
COGS	-29,720	-29,731	-29,700	-31,569	-32,310	-32,800
Gross profit	62,559	60,902	60,700	67,225	63,292	63,750
Gross margin	67.8%	67.2%	67.1%	68.0%	66.2%	66.0%
Operating costs	-16,644	-16,896	-16,850	-19,603	-18,492	-18,550
Operating profit	**45,915**	**44,006**	**43,850**	**47,623**	**44,800**	**45,200**

Source: Company data, Visible Alpha, HSBC estimates. *Pre-results estimates

Microsoft: Evolution of results

USDm, FYE June	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27e	3Q27e	4Q27e	2Q27 guidance
Revenue	**77,673**	**81,273**	**82,885**	**90,007**	**92,279**	**97,367**	**101,949**	**111,653**	**96,550**
Azure	22,384	24,129	26,008	29,417	33,165	36,500	41,133	45,729	
Rest of Microsoft	55,289	57,144	56,877	60,590	59,114	60,867	60,815	65,924	
Revenue: y-o-y	**18.4%**	**16.7%**	**18.3%**	**17.7%**	**18.8%**	**19.8%**	**23.0%**	**24.0%**	**24.3%**
Azure	39.7%	39.2%	40.3%	42.0%	48.2%	51.3%	58.2%	55.5%	
Rest of Microsoft	11.6%	9.3%	10.4%	8.7%	6.9%	6.5%	6.9%	8.8%	
Costs	-39,712	-42,998	-44,488	-49,404	-46,364	-50,433	-54,207	-60,688	
y-o-y	13.4%	13.2%	16.9%	17.3%	16.8%	17.3%	21.8%	22.8%	
Operating profit (Non-GAAP)	**37,961**	**38,275**	**38,397**	**40,603**	**45,915**	**46,934**	**47,741**	**50,965**	**45,200**
Margin	48.9%	47.1%	46.3%	45.1%	49.8%	48.2%	46.8%	45.6%	46.8%
One-off items	0	0	0	0	0	0	0	0	
Operating profit (GAAP)	**37,961**	**38,275**	**38,397**	**40,603**	**45,915**	**46,934**	**47,741**	**50,965**	
Margin	48.9%	47.1%	46.3%	45.1%	49.8%	48.2%	46.8%	45.6%	
Net profit (Non-GAAP)	**30,833**	**30,875**	**31,791**	**35,286**	**36,422**	**37,715**	**38,340**	**40,757**	
EPS (Non-GAAP) (USD)	**4.13**	**4.14**	**4.27**	**4.74**	**4.89**	**5.07**	**5.15**	**5.48**	
y-o-y	22.5%	23.4%	20.6%	29.9%	18.4%	22.4%	20.6%	15.5%	
Total debt	43,208	40,262	40,262	40,294	35,481	38,481	41,481	44,481	
Cash	102,012	89,462	78,272	76,843	64,509	65,765	49,735	45,152	
Net debt	**-58,804**	**-49,200**	**-38,010**	**-36,549**	**-29,028**	**-27,284**	**-8,254**	**-671**	
Operating cash flow	45,057	35,756	46,678	55,441	58,000	65,532	53,244	63,692	
Capex	-34,900	-37,500	-31,900	-41,000	-45,200	-55,000	-60,000	-60,000	
FCF	**10,157**	**-1,744**	**14,778**	**14,441**	**12,800**	**10,532**	**-6,756**	**3,692**	
Shareholder dividends	-6,169	-6,762	-6,756	-6,758	-6,757	-7,276	-7,274	-7,275	
Net share buybacks	-5,650	-7,415	-4,627	-4,579	-4,379	-5,500	-5,500	-4,500	
Acquisitions	-578	-455	-258	-452	-397	0	0	0	

Source: Company data, HSBC estimates

Excellent Azure performance

Azure revenue surged 48.2% y-o-y to USD33,165m. The company expects 2QFY27 revenue growth of 49%-50% y-o-y.

Cloud infrastructure sector revenue rose 51% y-o-y in 2QCY26. The growth seems to have accelerated in 3QCY26.

Cloud infrastructure revenue growth accelerating

CY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Revenue (USDm)											
AWS	25,037	26,281	27,452	28,786	29,267	30,873	33,006	35,579	37,587	42,232	NA
Google Cloud	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028	24,768	30,709
Oracle Cloud as Infra	1,341	1,494	1,665	1,880	2,085	2,370	2,607	3,385	4,124	4,962	6,527
CoreWeave	189	395	584	747	982	1,213	1,365	1,572	2,078	2,575	NA
Microsoft: Azure	13,940	14,901	16,021	17,337	18,540	20,712	22,384	24,129	26,008	29,417	33,165
Revenue growth (YoY)											
AWS	17%	19%	19%	19%	17%	17%	20%	24%	28%	37%	NA
Google Cloud	28%	29%	35%	30%	28%	32%	34%	48%	63%	82%	103%
Oracle Cloud as Infra	49%	42%	46%	61%	56%	59%	57%	80%	98%	109%	150%
CoreWeave	NA	NA	NA	NA	420%	207%	134%	110%	112%	112%	NA
Microsoft: Azure	35%	34%	33%	31%	33%	39%	40%	39%	40%	42%	48%

Source: Company data, HSBC estimates

Healthy asset turnover and ROIC

We estimate that asset turnover (Revenue/gross assets excluding work in progress construction and including leased assets) remained healthy at 37.2% in 1QFY27. Assuming 1GW of AI focussed compute requires a capex of USD50bn, Microsoft should be realizing about USD18,586m of revenue p.a. from 1GW of capacity.

We estimate pretax ROIC of about 15% for Microsoft Azure.

Microsoft Azure: Healthy asset turnover

USDm, FYE June	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27e	3Q27e	4Q27e
Azure revenue	**22,384**	**24,129**	**26,008**	**29,417**	**33,165**	**36,500**	**41,133**	**45,729**
y-o-y	39.7%	39.2%	40.3%	42.0%	48.2%	51.3%	58.2%	55.5%
Gross PP&E	**329,741**	**366,076**	**394,951**	**431,767**	**474,052**	**526,571**	**583,934**	**640,613**
Estimated construction wip	59,100	72,400	69,400	72,900	86,200	100,200	115,000	120,000
Gross PP&E used for non-cloud business	43,674	43,674	43,674	43,674	43,674	43,674	43,674	43,674
Gross PP&E ex wip constr less used for non-cloud	226,967	250,002	281,877	315,193	344,178	382,697	425,260	476,939
Annual Azure revenue/Avg gross PP&E - cwip - non-cloud	41.0%	40.5%	39.1%	39.4%	40.2%	40.2%	40.7%	40.5%
Operating lease ROU assets	24,791	25,103	24,403	24,177	30,178	33,843	37,820	41,638
Gross PP&E -cwip -non cloud + op leased assets	251,758	275,105	306,280	339,370	374,356	416,540	463,079	518,577
Annual Azure rev/Avg gross PP&E - cwip - non cloud + leased	36.9%	36.6%	35.8%	36.4%	37.2%	36.9%	37.4%	37.3%

Source: Company data, HSBC estimates

Excellent operating cost control

Non-GAAP gross margin dipped 125bp y-o-y to 67.8% in 1QFY27, due to the rising share of Azure, which has lower gross margins. However, non-GAAP operating margin rose 88bp y-o-y to 49.8%. Non-GAAP operating costs excluding COGS (i.e. R&D, sales & marketing and general & administrative costs) dipped to 18.0% of revenue in 1QFY27 from 20.2% in 1QFY26.

Continued strong Microsoft 365 performance

Microsoft 365 revenue rose 17.2% y-o-y to USD27,778m, driven partially by rising adoption of AI powered offerings. Microsoft 365 commercial seats grew 5% y-o-y driven primarily by small and medium business and frontline worker offerings.

Changes to HSBC estimates

There are no material changes to our estimates as we were already modelling significant growth for the company.

Microsoft: Changes in HSBC estimates

FYe June, USDm	2022	2023	2024	2025	2026	2027e	2028e	2029e	2030e
Revenue									
Old	198,270	211,915	245,122	281,724	331,839	402,719	501,990	610,007	728,696
New	198,270	211,915	245,122	281,724	331,839	403,248	501,305	603,852	716,620
% change	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	-0.1%	-1.0%	-1.7%
Non-GAAP operating profit									
Old	83,383	89,694	109,433	128,528	155,237	190,186	231,868	278,809	326,303
New	83,383	89,694	109,433	128,528	155,237	191,556	233,006	277,789	323,039
% change	0.0%	0.0%	0.0%	0.0%	0.0%	0.7%	0.5%	-0.4%	-1.0%
Non-GAAP net profit									
Old	69,447	73,307	88,136	103,877	128,786	152,559	187,360	222,645	261,802
New	69,447	73,307	88,136	103,877	128,786	153,233	188,853	222,652	259,960
% change	0.0%	0.0%	0.0%	0.0%	0.0%	0.4%	0.8%	0.0%	-0.7%
Non-GAAP EPS									
Old	9.21	9.81	11.80	13.92	17.28	20.51	25.15	29.76	34.81
New	9.21	9.81	11.80	13.92	17.28	20.59	25.34	29.78	34.63
% change	0.0%	0.0%	0.0%	0.0%	0.0%	0.4%	0.8%	0.1%	-0.5%

Source: Company data, HSBC estimates

Microsoft: Summary sheet

USDm, FYE June	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**331,839**	**403,248**	**501,305**	**603,852**	**716,620**
y-o-y		17.5%	18.0%	6.9%	15.7%	14.9%	17.8%	21.5%	24.3%	20.5%	18.7%
Costs	-90,056	-98,172	-114,887	-122,221	-135,689	-153,196	-176,602	-211,692	-268,299	-326,062	-393,581
y-o-y		9.0%	17.0%	6.4%	11.0%	12.9%	15.3%	19.9%	26.7%	21.5%	20.7%
Operating profit (Non-GAAP)	**52,959**	**69,916**	**83,383**	**89,694**	**109,433**	**128,528**	**155,237**	**191,556**	**233,006**	**277,789**	**323,039**
Margin	37.0%	41.6%	42.1%	42.3%	44.6%	45.6%	46.8%	47.5%	46.5%	46.0%	45.1%
One-off items	0	0	0	-1,171	0	0	0	0	0	0	0
Operating profit (GAAP)	**52,959**	**69,916**	**83,383**	**88,523**	**109,433**	**128,528**	**155,237**	**191,556**	**233,006**	**277,789**	**323,039**
Margin	37.0%	41.6%	42.1%	41.8%	44.6%	45.6%	46.8%	47.5%	46.5%	46.0%	45.1%
Net profit (Non-GAAP)	**44,281**	**60,651**	**69,447**	**73,307**	**88,136**	**103,877**	**128,786**	**153,233**	**188,853**	**222,652**	**259,960**
EPS (Non-GAAP) (USD)	**5.76**	**7.97**	**9.21**	**9.81**	**11.80**	**13.92**	**17.28**	**20.59**	**25.34**	**29.78**	**34.63**
y-o-y		38.4%	15.6%	6.5%	20.3%	18.0%	24.1%	19.2%	23.1%	17.5%	16.3%
Total debt	63,327	58,146	49,781	47,237	51,630	43,151	40,294	44,481	56,481	44,481	16,481
Cash	136,527	130,334	104,757	111,262	75,543	94,565	76,843	45,152	80,374	122,534	209,727
Net debt	**-73,200**	**-72,188**	**-54,976**	**-64,025**	**-23,913**	**-51,414**	**-36,549**	**-671**	**-23,893**	**-78,053**	**-193,246**
Operating cash flow	60,675	76,740	89,035	87,582	118,548	136,161	182,932	240,467	300,353	369,900	448,107
Capex	-19,000	-24,200	-29,200	-31,900	-55,700	-88,200	-145,300	-220,200	-235,804	-271,174	-284,733
FCF	**41,675**	**52,540**	**59,835**	**55,682**	**62,848**	**47,961**	**37,632**	**20,267**	**64,549**	**98,726**	**163,374**
Shareholder dividends	-15,137	-16,521	-18,135	-19,800	-21,771	-24,082	-26,445	-28,581	-31,327	-34,567	-38,180
Share buybacks	-21,625	-25,692	-30,855	-20,379	-15,252	-16,364	-20,262	-17,781	-10,000	-10,000	-10,000
Acquisitions	-2,521	-8,909	-22,038	-1,670	-69,132	-5,978	-1,743	-397	0	0	0

Source: Company data, HSBC estimates

Attractive valuation

Microsoft shares are trading at 23.3x CY27e non-GAAP PE, which is at only a slight premium to 20.3x median for the sector. We believe a wider premium is warranted as we expect Microsoft's non-GAAP EPS to rise at a CAGR of 20.3% over FY26-31e, vs 10-15% typical for the sector.

Our TP of USD628.00 (was USD595.00) is based on 29x our NTM non-GAAP EPS estimate of USD21.66 (was USD20.51). We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realized historically.

Our TP implies 18.3% upside and we maintain our Buy rating as we consider Microsoft a high quality holding in the sector with solid growth, high margins, well diversified business mix and well entrenched business with wide moat.

Downside risks: Higher-than-expected competitive intensity, weaker-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks.

Comparative valuation

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (Non-GAAP) CY26e	PE (Non-GAAP) CY27e	PE (GAAP) CY26e	PE (GAAP) CY27e	EV/EBIT (Non-GAAP) CY26e	EV/EBIT (Non-GAAP) CY27e	EV/EBIT (GAAP) CY26e	EV/EBIT (GAAP) CY27e
Oracle	ORCL US	Buy	144.54	316.00	18.7	15.8	24.8	19.5	16.1	13.7	20.6	16.1
Apple	AAPL US	Buy	343.83	366.00	37.3	32.8	37.3	32.8	30.5	26.7	30.5	26.7
Adobe	ADBE US	Hold	249.76	267.00	10.2	9.3	13.5	11.5	8.3	7.2	10.5	9.0
Autodesk	ADSK US	Buy	242.38	333.00	19.2	17.0	27.6	25.3	15.5	13.0	21.5	17.4
Akamai	AKAM US	Hold	98.10	123.00	14.4	13.3	31.3	27.4	15.9	14.4	27.5	28.2
Amazon	AMZN US	Buy	254.60	325.00	17.4	20.3	20.0	24.6	22.3	17.6	26.6	20.5
Asana	ASAN US	Reduce	11.75	6.25	31.8	26.7	NM	NM	29.4	25.7	NM	NM
Salesforce	CRM US	Buy	242.11	325.00	14.4	15.4	23.4	28.1	14.2	12.2	24.5	21.2
CrowdStrike	CRWD US	Buy	266.66	297.00	NM	161.6	NM	NM	179.9	139.7	NM	NM
CoreWeave	CRWV US	Reduce	63.93	39.00	NM	NM	NM	NM	74.9	24.2	NM	N.M.
Cisco	CSCO US	Hold	110.29	120.00	22.6	20.3	30.1	27.8	18.4	16.6	25.5	22.2
DocuSign	DOCU US	Hold	83.60	61.00	17.4	16.6	42.3	35.0	13.5	12.9	30.9	28.2
Fair Isaac	FICO US	Reduce	698.18	490.00	14.7	19.8	17.0	23.5	12.7	16.3	14.4	18.8
Corning	GLW US	Buy	131.20	220.00	38.8	28.9	50.9	36.0	28.6	21.8	36.5	26.0
HP	HPQ US	Buy	32.45	33.80	9.6	9.1	12.5	11.2	8.5	8.1	11.0	9.8
IBM	IBM US	Reduce	253.22	174.00	20.6	20.2	26.1	25.4	18.4	16.8	22.6	20.4
Intuit	INTU US	Buy	328.19	657.00	14.3	14.5	18.6	15.8	11.1	10.8	14.5	11.8
Microsoft	MSFT US	Buy	531.01	628.00	28.0	23.3	28.1	24.0	22.8	18.6	22.8	18.6
ServiceNow	NOW US	Buy	150.13	179.00	35.5	28.2	92.2	73.0	29.5	23.1	90.7	65.1
Palo Alto Networks	PANW US	Reduce	394.49	190.00	101.2	88.1	NM	NM	82.7	69.8	NM	184.1
Palantir	PLTR US	Hold	196.81	162.00	117.3	77.1	125.6	87.4	97.1	61.7	133.9	87.3
SAP (EUR)	SAP GR	Buy	211.20	240.00	29.7	25.5	28.8	26.3	20.6	17.3	21.3	17.8
Snowflake	SNOW US	Buy	339.91	470.00	154.5	99.7	NM	NM	129.5	73.7	NM	NM
SpaceX	SPCX US	Hold	145.23	150.00	NM	109.4	NM	NM	NM	141.9	NM	141.9
Zoom	ZM US	Buy	100.26	133.00	16.1	14.9	11.5	21.8	10.6	9.6	16.9	15.0
Median					**20.6**	**20.3**	**27.6**	**25.4**	**21.2**	**17.0**	**23.1**	**20.5**

Source: Company data, LSEG Datastream, HSBC estimates *Priced on 28 October 2026

Disclosure appendix

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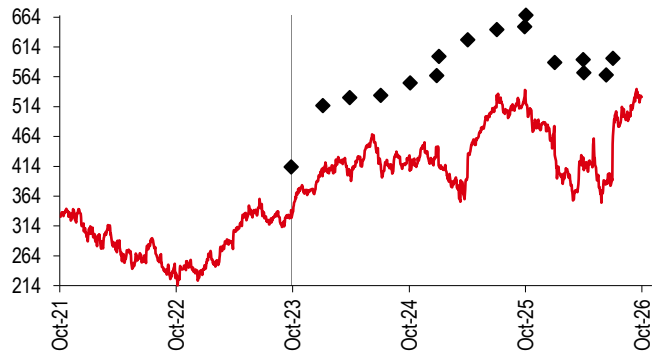
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Share price and rating changes for long-term investment opportunities

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	25 Oct 2023	Stephen Bersey
Target price	**Value**	**Date**	**Analyst**
Price 1	413.00	25 Oct 2023	Stephen Bersey
Price 2	516.00	01 Feb 2024	Stephen Bersey
Price 3	529.00	26 Apr 2024	Stephen Bersey
Price 4	533.00	01 Aug 2024	Stephen Bersey
Price 5	554.00	01 Nov 2024	Stephen Bersey
Price 6	566.00	24 Jan 2025	Stephen Bersey
Price 7	598.00	31 Jan 2025	Stephen Bersey
Price 8	626.00	01 May 2025	Stephen Bersey
Price 9	643.00	31 Jul 2025	Stephen Bersey
Price 10	648.00	27 Oct 2025	Stephen Bersey
Price 11	667.00	31 Oct 2025	Stephen Bersey
Price 12	588.00	29 Jan 2026	Stephen Bersey
Price 13	593.00	28 Apr 2026	Stephen Bersey
Price 14	571.00	30 Apr 2026	Stephen Bersey
Price 15	567.00	10 Jul 2026	Stephen Bersey
Price 16	595.00	31 Jul 2026	Stephen Bersey

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	530.14	29 Oct 2026	6, 7

Source: HSBC

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